

# Apple (AAPL US)

## Full Valuation and iPhone 18 Pro Uncertainty

Downgrade **Hold**  
Target price \$369

**Downgrade to Hold:** Driven by investors' appetite being away from AI capex themes and intact iPhone 17 demand, Apple share price outperformed Nasdaq by 19% in the past one month and reached all-time high in July. Fundamentally, market's worry about memory cost is about to diminish, in our view; however, the earlier memory price hike will likely lead to a significant price increase for iPhone 18 Pro/PM in this September, leading to uncertainties over demand. On the other hand, Apple Intelligence remains the key, and mgmt suggests that the broader rollout will occur this fall alongside the new operating systems and Siri AI. Valuation wise, the share price trades at 32x FY27E P/E with 20% earnings CAGR, suggesting the stock isn't cheap. By factoring in results, guidance and higher iPhone units, we raised FY26E/FY27E EPS by +2%/+4% and revise TP from \$331 to \$369, now based on 35x FY27E. With limited upside to current share price, we downgrade the stock to Hold.

**F4Q guidance slightly below expectations:** On July 30, Apple delivered a strong F3Q26, with revenue of \$109.4bn (vs. consensus \$108.9bn), +16% YoY, and EPS of \$2.03 (vs. consensus \$1.9), +30% YoY, driven by robust iPhone, +22% YoY, and Mac, +29% YoY, partially offset by soft iPad sales and Services that modestly missed. Gross margin reached 50.1%, or 48.1% excluding the one-time tariff refund. For FY4Q26, mgmt guided revenue growth of 9–11% YoY and gross margin of 47–48%, slightly below expectations of +12% due to supply constraints for advanced chips and memory and FX headwinds, while mgmt emphasized that end demand remains strong.

**Uncertainties over the iPhone 18 Pro cycle:** We continue to expect resilient iPhone 17 builds. For 2H26, we expect the iPhone 18 family to be supported by the Fold (~7m units), but see uncertainty around demand for the mainstream iPhone 18 Pro/Pro Max. As highlighted in our July 14 July Edition report and contrary to our May 1 Apple report, we expect higher 2nm silicon and DRAM/NAND costs to be passed on retail pricing. Compared to the September 2025 iPhone 17 Pro, we estimate higher A20 Pro (~\$20 vs. A19 Pro), LPDDR5X (up by ~3x), and NAND (up by ~3x) costs, partially offset by lower OLED costs, could result in a \$250–300 price increase for the base iPhone 18 Pro/Pro Max. Given the limited hardware upgrades (Figure 2), we are cautious on the iPhone 18 Pro product cycle.

**Risks:** 1) weak demand, 2) competition, 3) product delays, 4) geo-tension.

### Profit forecast

|                    | FY24    | FY25    | FY26E   | FY27E   | FY28E   |
|--------------------|---------|---------|---------|---------|---------|
| Revenue (m)        | 391,035 | 416,161 | 477,570 | 545,303 | 621,255 |
| Revenue YoY (%)    | 2.0     | 6.4     | 14.8    | 14.2    | 13.9    |
| Net profit (m)     | 93,736  | 112,010 | 130,763 | 152,325 | 181,307 |
| Net profit YoY (%) | -3.4    | 19.5    | 16.7    | 16.5    | 19.0    |
| EPS (\$)           | 6.1     | 7.5     | 8.9     | 10.5    | 12.6    |
| P/E                | 44.6    | 36.3    | 37.5    | 31.6    | 26.5    |
| ROE (%)            | 157.4   | 171.4   | 142.6   | 119.0   | 107.9   |

Source: Company data, GF Securities (Hong Kong) Brokerage.

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## Earnings Forecast

### F3Q results a slight beat driven by iPhone 17 and Macs

Apple delivered a strong F3Q26, with revenue of \$109.4bn (+16% YoY) and EPS of \$2.03 (+30% YoY), both are slightly higher than consensus, driven by robust iPhone (+22% YoY) and Mac (+29% YoY) performance, partially offset by softer iPad sales and Services growth that modestly missed expectations. Gross margin reached 50.1%, or 48.1% excluding the one-time tariff refund.

### F4Q guidance suggests slightly missed expectations

Looking ahead, mgmt guided FY4Q26 revenue growth of 9–11% YoY, gross margin of 47–48%, operating expenses of \$19.0–19.3bn, other income of approximately \$250m, and a tax rate of around 17%. The softer-than-expected outlook reflects worsening supply constraints for advanced chips and memory, higher DRAM/NAND costs, and FX headwinds, while management emphasized that end demand remains strong and guidance is constrained by supply rather than weakening consumer demand.

Apple did not announce a new share repurchase authorization during its FY3Q26 (July 30, 2026) earnings release or conference call. Instead, Apple repurchased \$19.0bn of its common stock during FY3Q26. It also paid \$3.9bn in dividends during the quarter.

**Figure 1: F3Q Results Review**

| USD mn           | F3Q26   | F2Q26   | QoQ   | F3Q25  | YoY   | GFHK    | Diff | Cons.   | Diff |
|------------------|---------|---------|-------|--------|-------|---------|------|---------|------|
| Revenue          | 109,417 | 111,184 | -1.6% | 94,036 | 16.4% | 108,771 | 0.6% | 108,853 | 0.5% |
| Gross profit     | 54,770  | 54,781  | 0.0%  | 43,718 | 25.3% | 52,604  | 4.1% | 52,126  | 5.1% |
| OPEX             | 19,075  | 18,896  | 0.9%  | 15,516 | 22.9% | 18,900  | 0.9% | 18,802  | 1.5% |
| Operating profit | 35,695  | 35,885  | -0.5% | 28,202 | 26.6% | 33,704  | 5.9% | 33,324  | 7.1% |
| Pre-tax profit   | 36,267  | 35,833  | 1.2%  | 28,031 | 29.4% | 33,652  | 7.8% | 33,394  | 8.6% |
| Net profit       | 29,789  | 29,578  | 0.7%  | 23,434 | 27.1% | 27,763  | 7.3% | 27,711  | 7.5% |
| EPS (\$)         | 2.03    | 2.01    | 1.0%  | 1.57   | 29.3% | 1.90    | 6.8% | 1.89    | 7.4% |
|                  | ppt     |         |       | ppt    |       | ppt     |      | ppt     |      |
| Gross Margin     | 50.1%   | 49.3%   | 0.8   | 46.5%  | 3.6   | 48.4%   | 1.7  | 47.9%   | 2.2  |
| Operating Margin | 32.6%   | 32.3%   | 0.3   | 30.0%  | 2.6   | 31.0%   | 1.6  | 30.6%   | 2.0  |
| Pretax margin    | 33.1%   | 32.2%   | 0.9   | 29.8%  | 3.3   | 30.9%   | 2.2  | 30.7%   | 2.4  |
| Net margin       | 27.2%   | 26.6%   | 0.6   | 24.9%  | 2.3   | 25.5%   | 1.7  | 25.5%   | 1.7  |

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: 2H26-1Q27's iPhone 18 series spec expectations

|              | iPhone 18 Pro                              | iPhone 18 Pro Max                        | iPhone Fold                    | iPhone Air 2                               | iPhone 18e                       | iPhone 18                                |
|--------------|--------------------------------------------|------------------------------------------|--------------------------------|--------------------------------------------|----------------------------------|------------------------------------------|
| Launch       | Sep-26                                     | Sep-26                                   | Sep-26                         | 1Q27                                       | 1Q27                             | 1Q27                                     |
| Display      | 6.3"                                       | 6.9"                                     | 7.6", Sub 5.4"                 | 6.55"                                      | 6.1"                             | 6.3"                                     |
| Processor    | A20 Pro, N2, WCMC                          | A20 Pro, N2, WCMC                        | A20 Pro, N2, WCMC              | A20 Pro, N2, WCMC                          | A20, N2, WCMC                    | A20, N2, WCMC                            |
| DRAM         | LPD5X 12GB                                 | LPD5X 12GB                               | LPD5X 12GB                     | LPD5X 12GB                                 | LPD5X 9GB                        | LPD5X 12GB                               |
| Front camera | 18MP, 6P                                   | 18MP, 6P                                 | 18MP (Folded), 18MP (Unfolded) | 18MP, 6P                                   | 12MP, 6P                         | 18MP, 6P                                 |
| Rear camera  | 48MP 7P VA, Periscope 48MP, 48MP 6P        | 48MP 7P VA, Periscope 48MP, 48MP 6P      | 48MP 7P, 48MP 6P               | 48MP 7P, 48MP 6P                           | 48MP 7P                          | 48MP 7P, 48MP 6P                         |
| Face ID      | Structured light, a smaller Dynamic Island | Structured light, smaller Dynamic Island | None (but has touch ID)        | Structured light, a smaller Dynamic Island | Structured light, Dynamic Island | Structured light, smaller Dynamic Island |
| Casing       | Aluminum                                   | Aluminum                                 | Titanium + Aluminum            | Titanium                                   | Aluminum                         | Aluminum                                 |
| BB           | Apple C2                                   | Apple C2                                 | Apple C2                       | Apple C2                                   | Apple C2                         | Apple C2                                 |
| mmWave       | QCOM X80                                   | QCOM X80                                 |                                | None                                       | None                             | None                                     |

Sources: Company data, GF Securities (Hong Kong) Brokerage

## Earnings revision

By factoring in results, guidance and higher iPhone units, we raised FY26E/FY27E EPS by +2%/+4%

**Figure 3: Earnings revision**

| USD m             | FY25    | FY26E   |         | FY27E   |         | Change (%) |       |
|-------------------|---------|---------|---------|---------|---------|------------|-------|
|                   |         | Old     | New     | Old     | New     | FY26E      | FY27E |
| Net sales         | 416,161 | 476,937 | 477,570 | 521,262 | 545,303 | 0%         | 5%    |
| Gross profit      | 195,201 | 231,366 | 233,032 | 255,896 | 263,905 | 1%         | 3%    |
| Operating profit  | 133,050 | 155,691 | 157,482 | 175,496 | 183,405 | 1%         | 5%    |
| Pre-tax Income    | 132,729 | 155,685 | 158,402 | 175,288 | 183,525 | 2%         | 5%    |
| Net profit        | 112,010 | 128,476 | 130,763 | 144,613 | 152,325 | 2%         | 5%    |
| EPS (\$)          | 7.46    | 8.75    | 8.90    | 10.10   | 10.54   | 2%         | 4%    |
| <b>Key ratios</b> |         |         |         |         |         |            |       |
| Gross margin      | 46.9%   | 48.5%   | 48.8%   | 49.1%   | 48.4%   |            |       |
| Operating margin  | 32.0%   | 32.6%   | 33.0%   | 33.7%   | 33.6%   |            |       |
| Pre-tax margin    | 31.9%   | 32.6%   | 33.2%   | 33.6%   | 33.7%   |            |       |
| Net profit margin | 26.9%   | 26.9%   | 27.4%   | 27.7%   | 27.9%   |            |       |

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 4: Apple's P&L forecast

| (USD m)                         | FY25    | F1Q26   | F2Q26   | F3Q26   | F4Q26E  | FY26E   | F1Q27E  | F2Q27E  | F3Q27E  | F4Q27E  | FY27E   |
|---------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
| Sales                           | 416,161 | 143,756 | 111,184 | 109,417 | 113,213 | 477,570 | 156,712 | 125,175 | 130,521 | 132,894 | 545,303 |
| COGS                            | 220,960 | 74,525  | 56,403  | 54,647  | 58,963  | 244,538 | 81,415  | 63,870  | 67,450  | 68,664  | 281,398 |
| Gross profit                    | 195,201 | 69,231  | 54,781  | 54,770  | 54,250  | 233,032 | 75,297  | 61,306  | 63,072  | 64,230  | 263,905 |
| Opex                            | 62,151  | 18,379  | 18,896  | 19,075  | 19,200  | 75,550  | 20,400  | 19,800  | 19,800  | 20,500  | 80,500  |
| Operating profit                | 133,050 | 50,852  | 35,885  | 35,695  | 35,050  | 157,482 | 54,897  | 41,506  | 43,272  | 43,730  | 183,405 |
| Non-operating profit            | -321    | 150     | -52     | 572     | 250     | 920     | 30      | 30      | 30      | 30      | 120     |
| Pre-tax profit                  | 132,729 | 51,002  | 35,833  | 36,267  | 35,300  | 158,402 | 54,927  | 41,536  | 43,302  | 43,760  | 183,525 |
| Income tax                      | 20,719  | 8,905   | 6,255   | 6,478   | 6,001   | 27,639  | 9,338   | 7,061   | 7,361   | 7,439   | 31,199  |
| Non-GAAP Net Income             | 112,010 | 42,097  | 29,578  | 29,789  | 29,299  | 130,763 | 45,590  | 34,475  | 35,940  | 36,321  | 152,325 |
| Non-GAAP EPS (\$)               | 7.5     | 2.8     | 2.0     | 2.03    | 2.01    | 8.90    | 3.14    | 2.38    | 2.49    | 2.53    | 10.54   |
| Diluted shares                  | 15,005  | 14,810  | 14,726  | 14,656  | 14,596  | 14,697  | 14,536  | 14,476  | 14,416  | 14,356  | 14,446  |
| Margin analysis                 |         |         |         |         |         |         |         |         |         |         |         |
| Gross margin                    | 46.9%   | 48.2%   | 49.3%   | 50.1%   | 47.9%   | 48.8%   | 48.0%   | 49.0%   | 48.3%   | 48.3%   | 48.4%   |
| Operating margin                | 32.0%   | 35.4%   | 32.3%   | 32.6%   | 31.0%   | 33.0%   | 35.0%   | 33.2%   | 33.2%   | 32.9%   | 33.6%   |
| Pre-tax margin                  | 31.9%   | 35.5%   | 32.2%   | 33.1%   | 31.2%   | 33.2%   | 35.0%   | 33.2%   | 33.2%   | 32.9%   | 33.7%   |
| Effective tax rate              | 15.6%   | 17.5%   | 17.5%   | 17.9%   | 17.0%   | 17.4%   | 17.0%   | 17.0%   | 17.0%   | 17.0%   | 17.0%   |
| Growth (% YoY)                  |         |         |         |         |         |         |         |         |         |         |         |
| Sales                           | 6%      | 16%     | 17%     | 16%     | 10%     | 15%     | 9%      | 13%     | 19%     | 17%     | 14%     |
| Operating profit                | 8%      | 19%     | 21%     | 27%     | 8%      | 18%     | 8%      | 16%     | 21%     | 25%     | 16%     |
| Net income                      | 19%     | 16%     | 19%     | 27%     | 7%      | 17%     | 8%      | 17%     | 21%     | 24%     | 16%     |
| EPS                             | 23%     | 19%     | 22%     | 30%     | 9%      | 19%     | 10%     | 19%     | 23%     | 26%     | 19%     |
| Product mix (%)                 |         |         |         |         |         |         |         |         |         |         |         |
| iPhone                          | 50%     | 59%     | 51%     | 50%     | 49%     | 53%     | 60%     | 53%     | 54%     | 52%     | 55%     |
| Mac                             | 8%      | 6%      | 8%      | 9%      | 9%      | 8%      | 7%      | 8%      | 8%      | 8%      | 8%      |
| iPad                            | 7%      | 6%      | 6%      | 6%      | 5%      | 6%      | 5%      | 5%      | 5%      | 5%      | 5%      |
| Wearables, Home and Accessories | 9%      | 8%      | 7%      | 7%      | 8%      | 8%      | 8%      | 7%      | 6%      | 7%      | 7%      |
| Service                         | 26%     | 21%     | 28%     | 28%     | 28%     | 26%     | 21%     | 28%     | 27%     | 28%     | 26%     |

Sources: Company data, GF Securities (Hong Kong) Brokerage

## Valuation and Recommendation

### Hold with TP of \$369

We rate Apple (AAPL US) Hold and set our TP at \$369 which is based on 35x our FY27E EPS estimate. We believe it is important to capture the 2H26-3Q27's iPhone 18 product cycle, given high market interest. We adopt P/E methodology as we believe the market now mainly focuses on the company's earnings outlook, and we usually apply P/E method to downstream firms.

We believe Apple's ecosystem will remain strong and associated revenue durability is high. This is backed by Apple's installed base growth, double digit YoY growth in services. However, the market would wait for visibility for its Apple Intelligence. Meanwhile, the market will need more visibility on the higher-high retail prices for the iPhone 18 series due to the rising cost over tariff and 2nm/memories. That said, we expect its earnings growth to be high-teens to 20% YoY in FY26E-FY28E, from single digit YoY in FY22-FY24. Considering >30x one-year P/E, the stock doesn't look particularly cheap.

Figure 5: Apple's 12-month forward P/E



Sources: Bloomberg, GF Securities (Hong Kong) Brokerage

### Risks

1) weak demand, 2) competition, 3) product delays, 4) geo-tension.

| Balance Sheet                         |                |                |                |                |                | USD mn |
|---------------------------------------|----------------|----------------|----------------|----------------|----------------|--------|
|                                       | FY24           | FY25           | FY26E          | FY27E          | FY28E          |        |
| <b>Current assets</b>                 | <b>152,987</b> | <b>147,957</b> | <b>149,698</b> | <b>190,299</b> | <b>210,372</b> |        |
| Cash and cash equivalents             | 98,004         | 87,877         | 80,987         | 111,786        | 120,987        |        |
| Inventory                             | 7,286          | 5,718          | 6,328          | 7,282          | 8,233          |        |
| Accounts Receivable                   | 33,410         | 39,777         | 45,646         | 52,120         | 59,380         |        |
| Other current assets                  | 14,287         | 14,585         | 16,737         | 19,111         | 21,773         |        |
| <b>Non-current assets</b>             | <b>211,993</b> | <b>211,284</b> | <b>255,048</b> | <b>254,684</b> | <b>284,656</b> |        |
| Long-term equity investment           | 91,479         | 77,723         | 115,341        | 110,887        | 137,877        |        |
| Fixed assets                          | 45,680         | 49,834         | 55,980         | 60,070         | 63,052         |        |
| Other long-term assets                | 74,834         | 83,727         | 83,727         | 83,727         | 83,727         |        |
| <b>Total assets</b>                   | <b>364,980</b> | <b>359,241</b> | <b>404,747</b> | <b>444,984</b> | <b>495,029</b> |        |
| <b>Current liabilities</b>            | <b>176,392</b> | <b>165,631</b> | 237,446        | 245,402        | 256,039        |        |
| Accounts Payable                      | 68,960         | 69,860         | 77,314         | 88,969         | 100,583        |        |
| Short-term borrowings                 | 10,912         | 12,350         | 64,401         | 47,125         | 30,924         |        |
| Other current liabilities             | 96,520         | 83,421         | 95,731         | 109,308        | 124,533        |        |
| <b>Non-current liabilities</b>        | <b>131,638</b> | <b>119,877</b> | <b>57,649</b>  | <b>53,330</b>  | <b>49,280</b>  |        |
| Long-term Debt                        | 85,750         | 78,328         | 16,100         | 11,781         | 7,731          |        |
| Other non-current liabilities         | 45,888         | 41,549         | 41,549         | 41,549         | 41,549         |        |
| <b>Total liabilities</b>              | <b>308,030</b> | <b>285,508</b> | <b>295,095</b> | <b>298,732</b> | <b>305,319</b> |        |
| <b>Total Equity</b>                   | <b>56,950</b>  | <b>73,733</b>  | <b>109,652</b> | <b>146,251</b> | <b>189,710</b> |        |
| Share Capital                         | 83,276         | 93,568         | 93,568         | 93,568         | 93,568         |        |
| Additional Paid-in Capital            | -              | -              | -              | -              | -              |        |
| Retained earnings                     | -26,326        | -19,835        | 16,084         | 52,683         | 96,142         |        |
| Minority interests                    | -              | -              | -              | -              | -              |        |
| <b>Total Liabilities &amp; Equity</b> | <b>364,980</b> | <b>359,241</b> | <b>404,747</b> | <b>444,984</b> | <b>495,029</b> |        |

| Income Statement                 |                |                |                |                |                | USD mn |
|----------------------------------|----------------|----------------|----------------|----------------|----------------|--------|
|                                  | FY24           | FY25           | FY26E          | FY27E          | FY28E          |        |
| <b>Revenue</b>                   | <b>391,035</b> | <b>416,161</b> | <b>477,570</b> | <b>545,303</b> | <b>621,255</b> |        |
| Cost of sales                    | 210,352        | 220,960        | 244,538        | 281,398        | 318,132        |        |
| <b>Gross profit</b>              | <b>180,683</b> | <b>195,201</b> | <b>233,032</b> | <b>263,905</b> | <b>303,122</b> |        |
| Operating Expense                | 57,467         | 62,151         | 75,550         | 80,500         | 84,800         |        |
| <b>Operating profit</b>          | <b>123,216</b> | <b>133,050</b> | <b>157,482</b> | <b>183,405</b> | <b>218,322</b> |        |
| Interest Income                  | 269            | -              | -              | -              | -              |        |
| Interest Expense                 | -              | 321            | -              | -              | -              |        |
| Net other Non-op. Income/(Loss)  | -              | -              | 920            | 120            | 120            |        |
| <b>Pre-tax profit</b>            | <b>123,485</b> | <b>132,729</b> | <b>158,402</b> | <b>183,525</b> | <b>218,442</b> |        |
| Income tax                       | 29,749         | 20,719         | 27,639         | 31,199         | 37,135         |        |
| <b>Profit for the year</b>       | <b>93,736</b>  | <b>112,010</b> | <b>130,763</b> | <b>152,325</b> | <b>181,307</b> |        |
| Minority interest                | -              | -              | -              | -              | -              |        |
| <b>Net profit to ord. equity</b> | <b>93,736</b>  | <b>112,010</b> | 130,763        | 152,325        | 181,307        |        |
| <b>EPS (\$)</b>                  | <b>6.1</b>     | <b>7.5</b>     | <b>8.9</b>     | <b>10.5</b>    | <b>12.6</b>    |        |

| Cash Flow Statement         |                 |                 |                 |                 |                 | USD mn |
|-----------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|--------|
|                             | FY24            | FY25            | FY26E           | FY27E           | FY28E           |        |
| <b>Operating cash flow</b>  | <b>118,254</b>  | <b>111,482</b>  | <b>153,856</b>  | <b>178,462</b>  | <b>208,846</b>  |        |
| Profit for the year         | 93,736          | 112,010         | 130,763         | 152,325         | 181,307         |        |
| Depreciation & amortization | 11,445          | 11,698          | 11,961          | 10,707          | 11,572          |        |
| Change in working capital   | 25,545          | -17,296         | 11,132          | 15,430          | 15,967          |        |
| Others                      | -12,472         | 5,070           | -               | -               | -               |        |
| <b>Investing cash flow</b>  | <b>2,935</b>    | <b>15,195</b>   | <b>-55,619</b>  | <b>-13,909</b>  | <b>-45,722</b>  |        |
| Capex                       | -13,305         | -15,746         | -18,001         | -18,363         | -18,732         |        |
| Change in investment        | 9,065           | 13,756          | -37,618         | 4,454           | -26,990         |        |
| Others                      | 7,175           | 17,185          | -               | -               | -               |        |
| <b>Free cash flow</b>       | <b>121,189</b>  | <b>126,677</b>  | <b>98,237</b>   | <b>168,226</b>  | <b>167,409</b>  |        |
| <b>Financing cash flow</b>  | <b>-121,211</b> | <b>-120,686</b> | <b>-105,128</b> | <b>-137,426</b> | <b>-158,207</b> |        |
| Change in Capital           | -5,196          | 16,783          | -94,844         | -115,726        | -137,849        |        |
| Net Change in Debt          | -12,401         | -10,323         | -10,284         | -21,700         | -20,359         |        |
| Others                      | -103,614        | -127,146        | -               | -               | -               |        |
| <b>Exchange influence</b>   | <b>-</b>        | <b>-</b>        | <b>-</b>        | <b>-</b>        | <b>-</b>        |        |
| <b>Net increase in cash</b> | <b>-22</b>      | <b>-10,127</b>  | <b>-6,890</b>   | <b>30,799</b>   | <b>9,201</b>    |        |

| Key Financial Ratios    |       |       |          |          |          |
|-------------------------|-------|-------|----------|----------|----------|
|                         | FY24  | FY25  | FY26E    | FY27E    | FY28E    |
| <b>Growth</b>           |       |       |          |          |          |
| Revenue growth          | 2.0   | 6.4   | 14.8     | 14.2     | 13.9     |
| Operating profit growth | 7.8   | 8.0   | 18.4     | 16.5     | 19.0     |
| Net profit growth       | -3.4  | 19.5  | 16.7     | 16.5     | 19.0     |
| <b>Profitability</b>    |       |       |          |          |          |
| Gross profit margin     | 46.2  | 46.9  | 48.8     | 48.4     | 48.8     |
| Operating Profit Margin | 31.5  | 32.0  | 33.0     | 33.6     | 35.1     |
| Net profit margin       | 24.0  | 26.9  | 27.4     | 27.9     | 29.2     |
| <b>Key Ratio</b>        |       |       |          |          |          |
| ROA                     | 26.1  | 30.9  | 34.2     | 35.9     | 38.6     |
| ROE                     | 157.4 | 171.4 | 142.6    | 119.0    | 107.9    |
| <b>Stability</b>        |       |       |          |          |          |
| Gross debt/equity       | 169.7 | 123.0 | 73.4     | 40.3     | 20.4     |
| Interest Coverage       | -     | 414.5 | -        | -        | -        |
| Current Ratio           | 0.9   | 0.9   | 0.8      | 1.0      | 1.0      |
| Quick Ratio             | 0.8   | 0.9   | 0.8      | 0.9      | 1.0      |
| Net debt/equity         | 27.4  | 13.1  | Net Cash | Net Cash | Net Cash |

## Rating definitions Benchmark: Hang Seng Index (Hong Kong)

|                        |                     |                                                                 |
|------------------------|---------------------|-----------------------------------------------------------------|
| <b>Company ratings</b> | <b>Buy</b>          | Stock expected to outperform benchmark by more than 10%         |
|                        | <b>Hold</b>         | Expected stock relative performance ranges between -10% and 10% |
|                        | <b>Underperform</b> | Stock expected to underperform benchmark by more than 10%       |

|                       |                 |                                                                  |
|-----------------------|-----------------|------------------------------------------------------------------|
| <b>Sector ratings</b> | <b>Positive</b> | Sector expected to outperform benchmark by more than 10%         |
|                       | <b>Neutral</b>  | Expected sector relative performance ranges between -10% and 10% |
|                       | <b>Cautious</b> | Sector expected to underperform benchmark by more than 10%       |

|                  |                  |                                                       |
|------------------|------------------|-------------------------------------------------------|
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